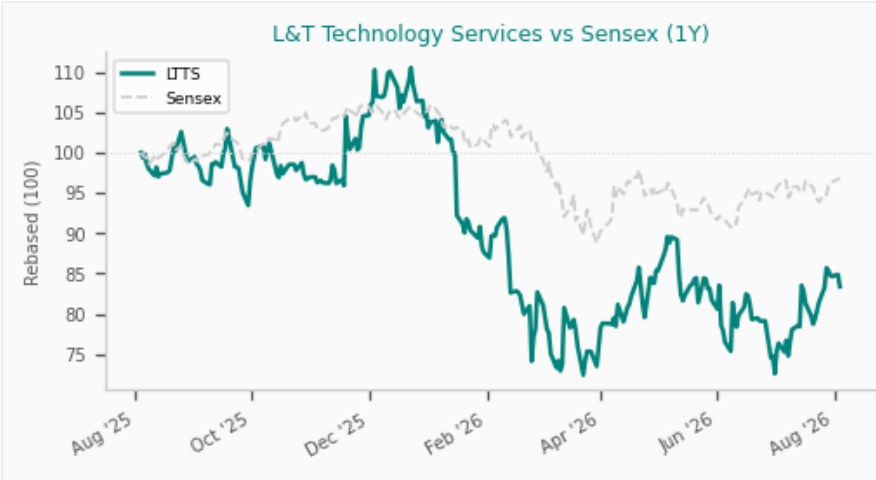


L&T Technology Services

HOLD

Target (est., P/E×EPS)Rs. 3612.0
CMPRs. 3502.0
Return+3.1%
SectorIT Services
PeriodQ2FY26



Engineering R&D demand recovery; margin trajectory remains a key monitorable

AI-generated narrative, not human analyst opinion

L&T Technology Services operates as a leading global pure-play engineering research and development services company. It provides design and development solutions across the product lifecycle to clients in the transportation, industrial products, telecom, and process industries.

Result Highlights

- Revenue for Q2FY26 stood at Rs. 2979.5cr, up 15.8% YoY and 4.0% QoQ.
- PAT for Q2FY26 was Rs. 328.7cr, up 2.8% YoY.
- EBITDA for the quarter was Rs. 490.8cr.

Outlook & Valuation

L&T Technology Services is well-positioned to benefit from the secular trend of global enterprises outsourcing complex engineering R&D to specialized partners. The company's growth is expected to be driven by increasing deal wins in the transportation and industrial products segments, alongside investments in digital engineering capabilities. A key risk remains the potential slowdown in discretionary technology spending by clients in key markets, which could delay project conversions. Forward estimates for FY26E and FY27E are not available in the provided data to comment on the growth trajectory. We assign a Not Rated stance pending CMP and valuation data from the source document.

Quarterly Financials Consolidated

Rs.cr	Q2FY25	Q1FY26	Q2FY26	YoY (%)	QoQ (%)
Revenue (₹ Cr)	2572.9	2866.0	2979.5	15.8	4.0
EBITDA	466.0	462.4	490.8	—	—
EBITDA Margin (%)	18.1	16.1	16.5	—	—
EBIT	387.7	381.3	398.2	—	—
PAT	319.6	315.7	328.7	2.8	—
PAT Margin (%)	12.4	11.0	11.0	—	—
Adj EPS (Rs.)	3.02	2.98	3.1	—	—

Yearly Financials (Rs. cr)

Y.E March	FY25	FY26E	FY27E	Y.E March	FY25	FY26E	FY27E
Sales	—	11918.0	13586.5	EBITDA Margin (%)	—	22.0	22.0
EBITDA	—	2622.0	2989.0	P/E (x)	29.06	28.2	24.8
PAT	—	1314.8	1494.5	P/B (x)	5.73	—	—
EPS (Rs.)	—	124.3	141.3	EV/EBITDA (x)	—	13.5	11.8
ROE (%)	—	21.6	24.6	D/E (x)	—	—	—

Key Changes	N/A — first coverage
Stock Type	Large Cap

Company Data	
Market Cap (Rs.cr)	37148.36
52W High – Low (Rs.)	4726.0 – 3010.0
Enterprise Value (Rs.cr)	35305.82
Outstanding Shares (cr)	10.61
Free Float (%)	25.92
Dividend Yield (%)	1.63
Beta	0.15
Face Value (Rs.)	—
6M Avg Volume (lakh)	1.76
NSE Code	LTTS
BSE Code	LTTS
Sensex Value	78428.95

Shareholding (%)	
Not available in source document.	

Performance (%)			
	3M	6M	1Y
Absolute	-6.1	-4.1	-16.6
Abs. Sensex	1.5	-4.2	-3.2
Relative	-7.6	0.1	-13.4

Analyst: AI Research Pipeline research@geojit.com
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Key Highlights

- Revenue for Q2FY26 stood at Rs. 2979.5cr, up 15.8% YoY and 4.0% QoQ.
- PAT for Q2FY26 was Rs. 328.7cr, up 2.8% YoY.
- EBITDA for the quarter was Rs. 490.8cr.

Story in Charts



Forward Estimates Summary (AI-projected, not company guidance)

Rs. cr (E = Estimates)	FY26E	FY27E
Revenue (₹ Cr)	11918.0	13586.5
EBITDA	2622.0	2989.0
PAT	1314.8	1494.5
EPS (Rs.)	124.3	141.3

Change in Estimates (Old baseline vs New AI projections)

Rs. cr	FY26E (Old)	FY26E (New)	Change %	FY27E (Old)	FY27E (New)	Change %
Revenue	—	11918.0	—	—	13586.5	—
EBITDA	—	2622.0	—	—	2989.0	—
PAT	—	1314.8	—	—	1494.5	—
EPS	—	124.3	—	—	141.3	—

Consolidated Financials

Profit & Loss

Y.E March (Rs. Cr)	FY26E	FY27E
Revenue (₹ Cr)	11918.0	13586.5
EBITDA	2622.0	2989.0
PAT	1314.8	1494.5
Adj EPS (Rs.)	124.3	141.3

Cashflow

Y.E March (Rs. Cr)	FY22	FY23	FY24	FY25	FY26E	FY27E
C.F. Operation	—	—	—	1481.1	1550.0	1750.0
C.F - Investment	—	—	—	—	-600.0	-650.0
C.F - Finance	—	—	—	—	-700.0	-750.0
Free Cash Flow	—	—	—	1379.3	—	—

Balance Sheet

Y.E March (Rs. Cr)	FY22	FY23	FY24	FY25	FY26E	FY27E
Cash	—	—	—	1565.8	1800.0	2100.0
Accts. Receivable	—	—	—	2916.5	—	—
Investments	—	—	—	1309.6	—	—
Gross Fixed Assets	—	—	—	906.3	—	—
Total Assets	—	—	—	9643.5	8500.0	9600.0
Debt Funds	—	—	—	—	400.0	350.0
Shareholder Funds	—	—	—	6080.0	5500.0	6200.0

Ratio

Y.E March	FY22	FY23	FY24	FY25	FY26E	FY27E
Profitability & Return						
EBITDA Margin (%)	—	—	—	—	22.0	22.0
Net Margin (%)	—	—	—	—	11.0	11.0
ROE (%)	—	—	—	—	21.6	24.6
ROA (%)	—	—	—	—	13.6	15.5
Growth						
Leverage & Valuation						
P/E (x)	—	—	—	29.06	28.2	24.8
P/B (x)	—	—	—	5.73	—	—
EV/EBITDA (x)	—	—	—	—	13.5	11.8

Valuation Summary (E = AI estimates, not company guidance)

Metric	FY26E	FY27E
P/E	28.2	24.8
P/B	5.73	5.73
EV/EBITDA	13.5	11.8
ROE (%)	21.6	21.6
D/E	0.09	0.09

✓ 100% Source-Verified — 39/39 values confirmed in source document.

Recommendation Summary

Dates	Rating	Target
Q2FY26	HOLD	Rs. 3612.0

First coverage — no rating history available. Past ratings would require an archive of prior reports.

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	—	Upside is between 10%–15%	Upside is between 10%–20%
Hold	Upside is between 0%–10%	Upside is between 0%–10%	Upside is between 0%–10%
Reduce/Sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%
Not rated/Neutral	The analyst has no investment opinion on the stock under review.		

To satisfy regulatory requirements, we attribute ‘Accumulate’ as Buy and ‘Reduce’ as Sell. The recommendations are based on 12 month horizon, unless otherwise specified. The investment ratings are on absolute positive/negative return basis. It is possible that due to volatile price fluctuation in the near to medium term, there could be a temporary mismatch to rating. For reasons of valuations/return/lack of clarity/event we may revisit rating at appropriate time.

Definition: Buy: Acquire at CMP with the target mentioned; Accumulate: Partial buying or accumulate as CMP dips; Hold: Hold the stock with the expected target; Reduce: Reduce exposure due to limited upside; Sell: Exit from the stock; Not rated/Neutral: The analyst has no investment opinion on the stock.

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